inflation had declined to around 2 per cent (June–July 2013). Yes, growth had moderated, but to attribute all of that moderation to tight monetary policy would be inaccurate, unfair and, more importantly, misleading, as a policy lesson. India's economic activity slowed owing to a host of supply-side constraints and governance failures which were clearly beyond the purview of the Reserve Bank. If the Reserve Bank's policy rate was the only factor inhibiting growth, growth should have responded to our rate cuts of 125 basis points between April 2012 and May 2013, CRR cuts of 200 basis points and open market operations (OMOs) of ₹1.5 trillion in 2012–13.

Admittedly, monetary tightening did have some negative impact on growth. But this was only to be expected. After all, the objective of monetary tightening is to compress aggregate demand, and some sacrifice of growth is programmed into it. But this sacrifice is only in the short-term; there need be no sacrifice in the medium term. Indeed, low and steady inflation is a necessary precondition for sustained growth. Any growth sacrifice in the short-term would be more than offset by sustained medium-term growth.

What about the criticism that monetary policy is an ineffective tool against supply shocks? This is an ageless and timeless issue. I was not the first governor to have had to respond to this, and I know I won't be the last. My response should come as no surprise. In a $1500 per capita economy—where food is a large fraction of the expenditure basket—food inflation quickly spills into wage inflation, and therefore into core inflation. Indeed, this transmission was institutionalized in the rural areas where MGNREGA wages were formally indexed to inflation. Besides, when food has such a dominant share in the expenditure basket, sustained food inflation is bound to ignite inflationary expectations.

As it turned out, both these phenomena did play out—wages and inflation expectations began to rise. More generally, this was all against a context of consumption-led growth, large fiscal deficits, and increased implementation bottlenecks. If ever there was a potent cocktail for core inflation to rise, this was it. And it did—rising from under 3 per cent at the